# Chapter 14, Part 2

Oxford College of Emory University

# Money Creation and Central Banks

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# Roadmap

1. Explain how banks create money.
2. Calculate and interpret the simple money multiplier.
3. Understand how central banks work and identify their policy tools.
4. Understand how lessons from financial crises shaped monetary policymaking.

Chapter 14, Part 2 · Section 1

# Explain how banks create money.

Trace deposits, loans and payments, distinguishing changes in the money supply from changes in the monetary base.

# Determining the Money Supply

## Money supply = public currency + checkable deposits

Simplified measure: M = C + D

| The same $1,000 | Currency (C) | Deposits (D) | Money (M) |
|---|---|---|---|
| Before depositing | $1,000 | $0 | $1,000 |
| After depositing | $0 | $1,000 | $1,000 |

The deposit changes the form of money, not its total.

# How Banks Create Money

Initial cash: $1,000 · Reserve ratio: rr = 10%




1. Deposit




2. Lend $900




3. Spend $900




4. Redeposit $900

The next bank receives $900, keeps $90 and lends $810.

The third stage includes the **next $810 loan**.

## How banks create money

| Stage | Currency in circulation | Checkable bank deposits | Money supply |
|---|---|---|---|
| **First stage**<br>Cash held by the public | $1,000 | $0 | $1,000 |
| **Second stage**<br>First deposit → $900 loan and payment | $900 | $1,000 | $1,900 |
| **Third stage**<br>$900 redeposit → $810 new loan | $810 | $1,900 | $2,710 |

Numerical stages: Krugman & Wells, 7th ed., Chapter 14, Table 1. Each row includes the completed loan stage.

Chapter 14, Part 2 · Section 2

# Calculate and interpret the simple money multiplier.

Determine total deposit expansion and explain the assumptions that limit the model’s application to actual banking.

# Reserves and Repeated Deposit Creation

**Excess reserves** = reserves − required reserves.

At Bank A: $1,000 − (0.10 × $1,000) = **$900**.

rr = 10% · Each row follows lending and payment to the next bank.

| Bank | Deposits | Reserves kept | New loan |
|---|---|---|---|
| A | $1,000 | $100 | $900 |
| B | $900 | $90 | $810 |
| C | $810 | $81 | $729 |
| … | … | … | … |

# The Simple Money Multiplier

Initial cash deposit: \$1,000 · rr = 0.10

$$D = 1{,}000 + 1{,}000(1 - rr) + 1{,}000(1 - rr)^2 + \ldots$$

$$D = \frac{1{,}000}{rr} = \frac{1{,}000}{0.10} = \mathbf{\$10{,}000}$$

**\$10,000 total deposits** includes the original \$1,000.

**\$9,000 additional deposits** are created through lending.

Under these assumptions, \$1 of reserves supports \$10 of deposits.

# Why Reality Is More Complicated

**Full redeposit.** People deposit the payments they receive.

**Only required reserves are retained.** Banks keep rr × deposits and lend the remaining amount.

At rr = 10%: a $900 deposit → $90 reserves + $810 loan.

More cash held by the public or more excess reserves
means less deposit expansion.

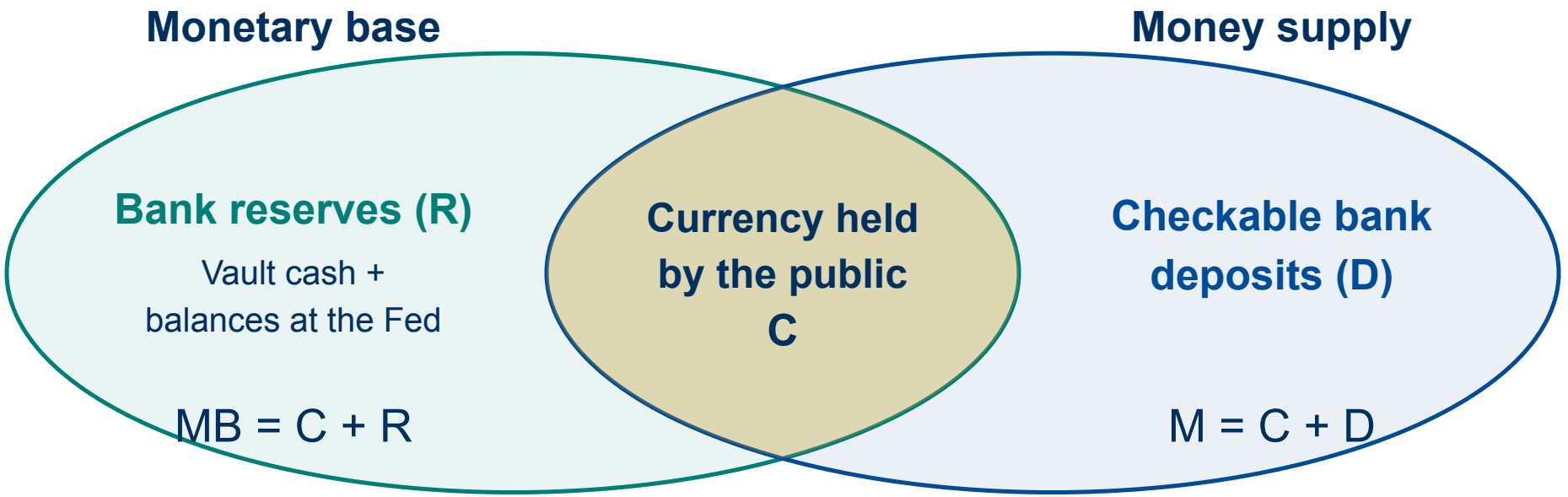
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**1/rr** is the model's simple deposit multiplier.

**rr = 10%** is our example; the U.S. statutory requirement is 0%.

Bank of England, Money Creation (2014) · Federal Reserve, Reserve Requirements

# Monetary Base and Money Supply




**Public currency is the overlap.** Bank reserves and public deposits are different components.

$$\text{Money multiplier} = \frac{M}{MB}$$

Next: how Fed operations change reserves and the monetary base.

# Money Creation Checkpoint

$1,000 of existing public cash · rr = 10% · Full lending and redeposit

### 1. Cash becomes a deposit.

Does the money supply rise immediately?

No. Currency falls $1,000; deposits rise $1,000.

### 2. Lending repeats across banks.

What are total deposits and the net increase in money?

Deposits: $10,000. Net increase in M: $9,000.

### 3. Banks make loans.

Does lending itself create monetary base?

No. It creates deposits; it does not create base money.

Chapter 14, Part 2 · Section 3

# Understand how central banks work and identify their policy tools.

Explain the roles of the discount rate, interest on reserve balances and open-market operations.

# The Federal Reserve

**The Federal Reserve (the Fed)** is the U.S. central bank.

**Its monetary-policy goals:** maximum employment and stable prices.

**Monetary policy:** influence borrowing and spending to help reach those goals.

**The tools we will study:**

- Loans from the Fed to banks
- Interest paid on banks' balances at the Fed
- Purchases and sales of bonds

Federal Reserve, System Structure

# The Federal Reserve System




1. Boston
2. New York
3. Philadelphia
4. Cleveland
5. Richmond
6. Atlanta
7. Chicago
8. St. Louis
9. Minneapolis
10. Kansas City
11. Dallas
12. San Francisco

12 Reserve Banks. San Francisco also serves Alaska and Hawaii.

## Board of Governors

**7 governors** · Washington, D.C.

**Each governor:**
The U.S. President nominates;
the U.S. Senate confirms.

**Full term: 14 years.**
One term ends every two years.

**Chair:** chosen from the governors by the same process, for four years.

**Why regional banks?** Share responsibility and bring local economic conditions into national decisions.

Federal Reserve, System Structure · Federal Reserve, Governor Selection · Map: Natural Earth

# The Federal Open Market Committee

FOMC = the Fed's monetary-policy committee.

| 7 | + | 1 | + | 4 |
|---|---|---|---|---|
| Board governor seats | | New York Fed president | | Other regional presidents |
| Permanent votes | | Permanent vote | | One-year voting turns |

**Chooses whether to raise, lower or hold the federal funds rate target range.**
Directs bond purchases and changes in the Fed's bond holdings.

**For our activity:** the statement explains the decision and goals; the implementation note gives the operating steps.

The Board of Governors sets reserve interest and approves discount rates.

Federal Reserve, FOMC

# Regional Presidents in the FOMC

One president from each group votes for one year.

| Reserve Bank group | 2026 voting president |
|---|---|
| Boston, Philadelphia, Richmond | **Anna Paulson** · Philadelphia |
| Cleveland, Chicago | **Beth M. Hammack** · Cleveland |
| Atlanta, St. Louis, Dallas | **Lorie K. Logan** · Dallas |
| Minneapolis, Kansas City, San Francisco | **Neel Kashkari** · Minneapolis |

**The New York Fed president always votes.** The seat passes to each successor. Its trading desk carries out FOMC market operations.

All 12 regional presidents discuss policy; seven participate without a vote that year.

Federal Reserve, FOMC · St. Louis Fed, Inside the FOMC

# What the Fed Does

Monetary policy · financial stability and supervision · payments

## The federal funds market

Overnight, unsecured lending of balances at the Fed between banks and other eligible institutions.

**FFR:** the federal funds rate—the interest rate in this market.

| Policy tool | What changes |
|---|---|
| Discount rate | Cost of borrowing from the Fed |
| Interest on reserve balances | Return on eligible balances at the Fed |
| Open-market operations | Securities and bank reserve balances |

Next week: interest rates, spending, and aggregate demand.

New York Fed, Monetary Policy Implementation

# The Discount Window and Reserve Interest

## Discount window

The Fed lends to eligible banks against collateral.

**Lower discount rate:**
Cheaper Fed funding; borrowing becomes more attractive.

**Higher discount rate:**
Costlier Fed funding; borrowing becomes less attractive.

## Interest on reserve balances

IORB pays banks on eligible balances held at the Fed.

**A reservation rate:**
a safe alternative return to lending.

Higher IORB raises that benchmark; lower IORB reduces it.

IORB influences lending rates; it is not a fixed minimum rate on every loan.

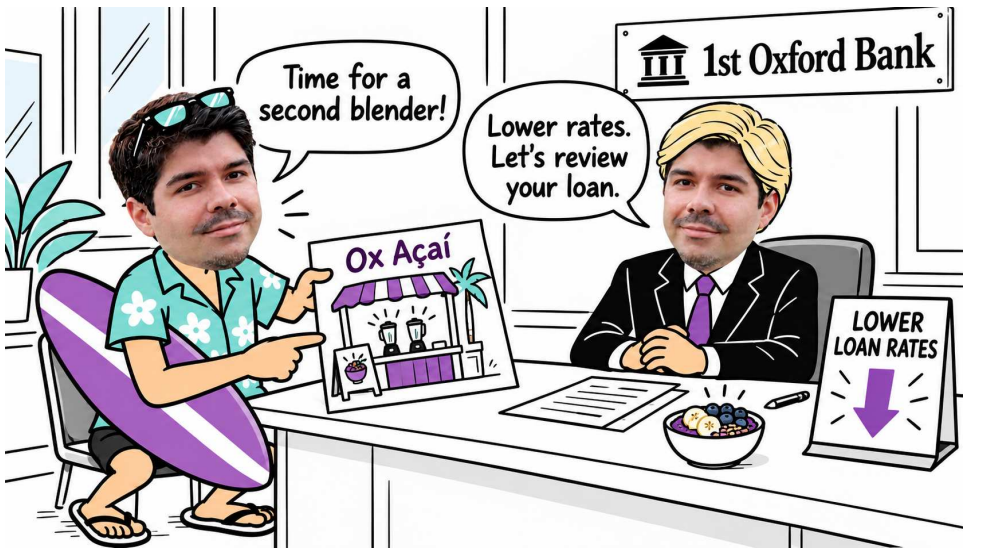
Federal Reserve, Discount Window · Federal Reserve, IORB FAQ

# Open-Market Purchases

The Fed buys a $1,000 Treasury security from a commercial bank.




Purchase: reserves enter the bank.




Easier financing can support borrowing.

**Bank reserves +$1,000 · Monetary base +$1,000**

Bank securities −$1,000 · Public deposits: no immediate change.

Loan-rate effects are conditional; reserve changes alone do not guarantee them.

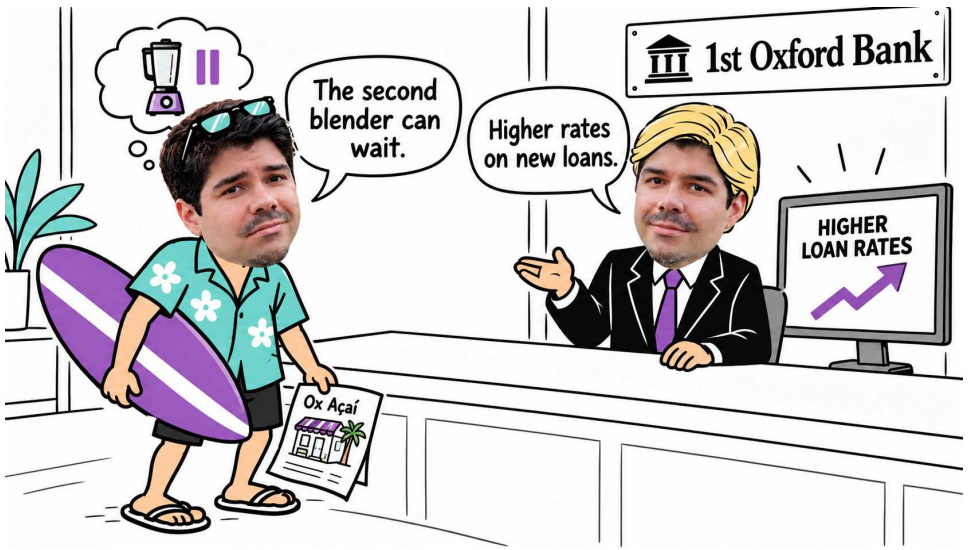
New York Fed, Monetary Policy Implementation

# Open-Market Sales

The Fed sells a $1,000 Treasury security to a commercial bank.




Sale: reserves leave the bank.




Costlier financing can postpone borrowing.

**Bank reserves −$1,000 · Monetary base −$1,000**

Bank securities +$1,000 · Public deposits: no immediate change.

Loan-rate effects are conditional; reserve changes alone do not guarantee them.

New York Fed, Monetary Policy Implementation

# The ECB and the Federal Reserve

ECB = European Central Bank · Eurosystem = ECB + euro-area national central banks.

| | Federal Reserve | ECB / Eurosystem |
|---|---|---|
| Central board | 7 Board governor seats | 6 Executive Board members |
| Policy committee | FOMC | Governing Council |
| Operating network | 12 regional Reserve Banks | Euro-area national central banks |
| Main policy goals | Maximum employment; stable prices | Price stability is primary |

Both use policy rates, lending facilities, and asset operations.

The ECB’s deposit facility offers a comparable remuneration benchmark.

ECB, Governing Council · ECB, Eurosystem · ECB, Monetary Policy · ECB, Standing Facilities · Federal Reserve, System Structure

Chapter 14, Part 2 · Section 4

# Understand how lessons from financial crises shaped monetary policymaking.

Connect historical crises to changes in central banks’ responsibilities and policy approaches.

# Banking Panics and the Creation of the Fed

### 1907: banking panic

Withdrawal demands outran available cash; emergency support depended on private coordination.

### 1913: the Federal Reserve Act

A central reserve system could supply liquidity when individual banks could not.

### 1930–1933: renewed bank runs

The Fed did not prevent a severe monetary contraction. The 1933 Banking Act created federal deposit insurance.

**Policy lesson:** Central-bank liquidity and deposit protection address different sources of banking instability.

Fed History: Panic of 1907 · Fed History: Federal Reserve Act · Fed History: Great Depression

# The Savings-and-Loan Crisis

### 1980s: a funding mismatch

Thrifts held long-term, fixed-rate mortgages while rising rates increased their funding costs.

### Risk-taking and weak oversight

Broader investment powers, weak capital and insured deposits encouraged costly risk-taking.

### 1989: cleanup and reform

FIRREA reorganized thrift oversight and resolution. Public funds helped cover the failed institutions' losses.

**Policy lesson:** Deposit insurance needs capital, supervision and risk controls to limit excessive risk-taking.

Fed History: Savings-and-Loan Crisis · FDIC: 1980–1989

# The 2008 Crisis and Its Aftermath

### 2007–2009: housing losses and funding runs

Mortgage-related losses and withdrawals of short-term funding spread stress beyond deposit banks.

### 2008: emergency support

The Fed expanded liquidity lending and asset purchases; the Treasury provided capital support.

### 2010: Dodd–Frank reforms

New systemic-risk oversight and consumer protection addressed gaps exposed by the crisis.

**Policy lesson:** Central-bank tools must address market-wide funding stress, beyond runs at deposit banks.

Fed History: Great Recession · Federal Reserve: Dodd–Frank